

EZCA

SALE OF GOODS ACT, 1930

📖 KEYWORDS MINI REVISION FOR YOUR LAST MOMENT REVISION

In Force: 1 July 1930 | Based on English Sale of Goods Act, 1893 | Extends to Whole of India

UNIT 1 — FORMATION OF THE CONTRACT OF SALE

📖 1. INTRODUCTION

Key Fact	Detail
Act	Sale of Goods Act, 1930
Based On	English Sale of Goods Act, 1893
Earlier Covered Under	Indian Contract Act, 1872
In Force	1 July 1930
Extends To	Whole of India
Indian Contract Act	Still applies where not inconsistent with SOGA

📖 2. SCOPE OF ACT ★★★

Applicable To	NOT Applicable To
Sale of movable property	Immovable property (covered by Transfer of Property Act, 1882)

📖 3. CONTRACT OF SALE ★★★★★

Section 4

Contract whereby seller transfers OR agrees to transfer property in goods to buyer for a price.

Essentials of Contract of Sale ★★★★★

Two Parties	Goods	Transfer of Property	Price (Money)	Valid Contract	Movable Property
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📖 4. SALE vs AGREEMENT TO SELL ★★★★★

Basis	Sale	Agreement to Sell
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Transfer of Ownership	Immediate	Future date / condition
Nature of Contract	Executed contract	Executory contract
Risk	Passes to buyer immediately	Remains with seller
Insolvency of Buyer	Seller = unsecured creditor; must deliver	Seller may refuse delivery
Insolvency of Seller	Buyer gets ownership — can claim goods	Buyer gets damages only
Remedy for Breach	Action for price	Action for damages only

5. KEY DEFINITIONS ★★★★★

Term	Section	Meaning
Buyer	Sec 2(1)	Person who buys OR agrees to buy goods
Seller	Sec 2(13)	Person who sells OR agrees to sell goods
Price	Sec 2(10)	Money consideration for sale of goods — essential element
Property	Sec 2(11)	Means ownership rights — General property = full ownership; Special property = limited interest (e.g. pledge)
Insolvent	Sec 2(8)	Person who cannot pay debts OR has ceased to pay debts
Mercantile Agent	Sec 2(9)	Authority to sell/buy/consign goods or raise money on security. Examples: Brokers, Auctioneers
Document of Title	Sec 2(4)	Includes: Bill of lading, Dock warrant, Railway receipt, Warehouse certificate, Delivery order

Goods [Sec 2(7)] ★★★★★

Every kind of movable property. EXCLUDES: Actionable claims & Money. INCLUDES: Stock & shares, Growing crops, Grass, Goodwill, Copyrights, Patents, Trademarks, Electricity, Things attached to land agreed to be severed.

6. CLASSIFICATION OF GOODS ★★★★★

Type	Section	Meaning	Key Rule
Specific Goods	Sec 2(14)	Identified & agreed upon at time of contract	Can be Sale or Agreement to Sell
Ascertained Goods	—	Identified after the contract is made	Property passes on identification
Unascertained Goods	—	Not specifically identified at time of contract	No property passes until ascertained
Future Goods	Sec 2(6)	To be manufactured or acquired after contract	ALWAYS = Agreement to Sell (never Sale)
Contingent Goods	Sec 6(2)	Acquisition depends on an uncertain event	Always = Agreement to Sell

7. DELIVERY ★★★★★**Section 2(2)**

Delivery = Voluntary transfer of possession from seller to buyer.

Type of Delivery	Meaning	Example
Actual Delivery	Physical transfer of goods to buyer	Handing over goods directly
Constructive Delivery	Transfer without physical possession — by acknowledgement (attornment)	Seller holds goods as bailee after sale
Symbolic Delivery	Delivery of key or document of title	Handing over warehouse keys or bill of lading

Deliverable State [Sec 2(3)]

Goods are in such a condition that the buyer would be bound to take delivery of them.

UNIT 2 — CONDITIONS & WARRANTIES**1. STIPULATION AS TO TIME ★★★**

Stipulation	Is it Essence?
Time of Payment	Generally NOT essence of contract
Time of Delivery	Usually IS essence of contract

2. CONDITIONS & WARRANTIES ★★★★★**Condition [Sec 12]**

Stipulation ESSENTIAL to the main purpose of the contract. Breach → Repudiation of contract + Damages.

Warranty [Sec 12]

Stipulation COLLATERAL to the main purpose of the contract. Breach → Damages only — cannot repudiate.

Basis	Condition	Warranty
Importance	Essential to main purpose	Collateral / subsidiary
Breach Remedy	Repudiate contract + claim damages	Damages only
Conversion	Can be treated as warranty	Cannot become a condition

3. CONDITION TREATED AS WARRANTY ★★★★★**Section 13**

Cases where condition is treated as warranty:

1

Waiver by Buyer

Buyer voluntarily waives the condition.

2

Buyer Elects to Treat as Warranty

Buyer chooses to claim damages instead of repudiating.

3

Non-Severable Contract + Goods Accepted

Whole goods accepted in a non-severable contract.

4

Impossibility Excused by Law

Fulfilling condition becomes impossible — law excuses it.

4. IMPLIED CONDITIONS & WARRANTIES ★★★★★**Implied Conditions**

Implied Condition	Section	Meaning
Title	Sec 14(a)	Seller must have the right to sell the goods
Sale by Description	Sec 15	Goods must correspond with the description
Sale by Sample	Sec 17	Bulk = sample quality; chance to compare; no latent defects
Sale by Sample & Description	—	Goods must correspond with BOTH sample AND description
Fitness for Purpose	Sec 16	Applies when buyer relies on seller's skill & judgment
Merchantable Quality	Sec 16	Goods must be saleable/useable in the market
Wholesomeness	—	Especially for food items — must be fit for consumption

Implied Warranties

Quiet Possession

Free from Encumbrance

Disclosure of Dangerous Nature

5. CAVEAT EMPTOR ★★★★★**Caveat Emptor**

Latin: 'Let the Buyer Beware'. Buyer is responsible to examine goods before purchase — seller not liable for defects.

Exceptions to Caveat Emptor ★★★★★

1

Fitness for Purpose

Buyer communicated purpose and relied on seller's skill.

2

Merchantable Quality

Buyer buys by description from seller who deals in such goods.

3

Sale by Description

Goods must match description — seller liable if they don't.

4

Sale by Sample

Goods must match sample quality.

5

Fraud / Misrepresentation

Seller actively conceals defect or misrepresents goods.

6

Trade Usage / Custom

Local trade custom imposes warranty on seller.

UNIT 3 — TRANSFER OF OWNERSHIP & DELIVERY OF GOODS**1. PASSING OF PROPERTY ★★★★★**

Sections 18–26

Passing of Property = Transfer of Ownership. Determines: Risk, Ownership, Right to sue, Liability.

Rules for Specific Goods

Section	Condition	When Property Passes
Section 20	Specific goods in deliverable state	At the time of making the contract
Section 21	Specific goods to be put into deliverable state	After seller does the work AND gives notice to buyer
Section 22	Seller must weigh/measure/test to ascertain price	After seller does the act AND gives notice to buyer

2. UNASCERTAINED GOODS & APPROPRIATION ★★★★★

Section 18

No property passes in unascertained goods until goods are ascertained.

Appropriation — Section 23(1) ★★★

Requirement	Detail
1. Goods conform to contract	Must match the contract description
2. Deliverable state	Must be in condition buyer is bound to accept
3. Unconditional appropriation	Seller must unconditionally set aside goods for this contract

4. Assent of both parties

Both buyer and seller must agree (assent can be prior or subsequent)

Delivery to Carrier [Sec 23(2)]

Property passes when seller delivers goods to carrier — if right of disposal is NOT reserved.

3. GOODS ON APPROVAL / SALE OR RETURN ★★★★★**Section 24**

Property in goods sent on approval passes to buyer when:

1**Buyer Approves**

Buyer communicates approval to seller.

2**Retains Beyond Reasonable Time**

Does not reject within fixed/reasonable time.

3**Adopts Transaction**

Does any act adopting the transaction.

4**Resells or Pledges Goods**

Treats goods as own by dealing with them.

4. RESERVATION OF RIGHT OF DISPOSAL ★★★★★**Section 25**

Seller may reserve right of disposal — ownership does NOT pass until conditions fulfilled. Example: Bill of lading in seller's name.

5. RISK PRIMA FACIE PASSES WITH PROPERTY ★★★★★**Section 26**

General Rule: Risk follows ownership — whoever owns goods bears the risk of loss.

Exceptions

- ▶ Agreement otherwise between parties
- ▶ Delay in delivery due to fault of buyer or seller — risk passes to the party at fault
- ▶ Duties as bailee remain even after risk passes

6. NEMO DAT QUOD NON HABET ★★★★★**Nemo Dat Rule**

No one can give a better title than he himself has. A seller cannot pass better ownership than he possesses.

Exceptions to Nemo Dat Rule ★★★★★

#	Exception	Meaning
1	Sale by Mercantile Agent	Agent with authority sells in ordinary course of business — buyer gets good title
2	Sale by Estoppel	Owner by conduct leads buyer to believe seller has authority — cannot deny later
3	Sale by Joint Owner	One joint owner with consent of others sells — buyer gets good title
4	Sale by Voidable Contract Holder	Seller has voidable title — if not rescinded before sale — buyer in good faith gets good title
5	Sale by Seller in Possession	Seller sells again after selling — second buyer in good faith gets good title
6	Sale by Buyer in Possession	Buyer in possession before ownership passes sells — third party gets good title
7	Resale by Unpaid Seller	Unpaid seller exercises right of resale — new buyer gets good title

7. DELIVERY OF GOODS ★★★★★

Rule	Detail
Who must apply	Buyer must apply for delivery — seller not bound to tender without request
Place	Place specified in contract; otherwise seller's place of business
Time	Within reasonable time at a reasonable hour
Expenses	Seller bears cost of putting goods in deliverable state; buyer bears delivery expenses
Wrong Quantity	Buyer may reject all, accept all, or accept correct quantity only
Instalment	Buyer NOT bound to accept in instalments unless agreed
Delivery to Carrier	Seller's duty to make proper contract with carrier on buyer's behalf

Acceptance of Goods

Buyer Deemed to Have Accepted When	Detail
Intimates acceptance	Buyer expressly tells seller goods are accepted
Acts inconsistent with seller's ownership	Buyer uses, alters or deals with goods
Retains beyond reasonable time	Does not reject within a reasonable time after delivery

UNIT 4 — UNPAID SELLER**1. UNPAID SELLER ★★★★★**

Section 45

Seller is unpaid when: (1) Whole price has not been paid/tendered, OR (2) Negotiable instrument received as payment has been dishonoured.

Seller

Consignor / Agent who paid price

Any other person in position of seller

2. RIGHTS OF UNPAID SELLER ★★★★★

Category	Rights
Rights Against GOODS (if property passed)	1. Right of Lien 2. Stoppage in Transit 3. Right of Resale
Rights Against GOODS (if property NOT passed)	Right of Withholding Delivery
Rights Against BUYER Personally	1. Suit for Price 2. Damages for Non-Acceptance 3. Interest

3. RIGHT OF LIEN ★★★★★**Section 47**

Right to retain possession of goods until price is paid.

When Lien is Exercisable

- ▶ No credit sale (cash sale with unpaid price)
- ▶ Credit term has expired
- ▶ Buyer has become insolvent

Termination of Lien — Section 49 ★★★

Delivery to Carrier

Buyer Obtains Possession

Waiver by Seller

Estoppel

Part Delivery [Sec 48]

Lien continues on remaining goods even after part delivery — unless circumstances show waiver.

4. STOPPAGE IN TRANSIT ★★★★★**Sections 50–52**

Right of unpaid seller to resume possession of goods while they are in transit — when buyer becomes insolvent.

Conditions for Stoppage

Seller Unpaid

Buyer Insolvent

Goods in Transit

Seller Parted with Possession

When Transit Ends (Cannot Stop After This)

Event	Effect
Buyer or agent gets actual delivery	Transit ends — stoppage not possible

Carrier acknowledges holding goods for buyer	Transit ends
Buyer intercepts goods before destination	Transit ends
Goods delivered to buyer's own carrier	Transit ends immediately

Modes of Stoppage

Actual Possession (taking back goods)		Notice to Carrier / Bailee
Basis	Right of Lien	Stoppage in Transit
Possession	Seller already has possession	Seller REGAINS possession
Buyer's Insolvency	Not necessary	Necessary condition
Transit Required	Not required	Required — goods must be in transit

5. EFFECT OF SUB-SALE OR PLEDGE ★★★

Section 53

General Rule: Sub-sale or pledge by buyer does NOT affect seller's rights of lien or stoppage.
Exceptions: (1) Seller assented to sub-sale, OR (2) Document of title transferred in good faith.

6. RIGHT OF RESALE ★★★★★

Unpaid Seller May Resell When

- ▶ Goods are perishable in nature
- ▶ Seller gives notice to buyer of intention to resell + buyer defaults
- ▶ Seller reserved right of resale in original contract

Effect of Resale	Detail
Original contract rescinded	Seller can keep profit from resale
Recover damages	Seller may recover loss from original buyer
New buyer gets good title	Even though original sale was not cancelled

7. RIGHTS AGAINST BUYER PERSONALLY ★★★★★

Right	When Available	Remedy
Suit for Price	Ownership passed OR price payable on fixed day	Recover full price
Damages for Non-Acceptance	Buyer wrongfully refuses to accept delivery	Market price difference + losses
Damages for Non-Delivery	Seller wrongfully refuses to deliver	Market price difference + losses
Anticipatory Breach	Buyer repudiates before due date	Sue immediately or wait for due date

Interest	Court discretion	Court may award interest on price from appropriate date
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8. AUCTION SALE ★★★★★

Section 64

Rules governing sale by auction.

Rule	Detail
Each Lot = Separate Contract	Each lot put up for auction is a separate contract of sale
Sale Complete	When auctioneer announces completion — by fall of hammer or other customary manner
Bid Withdrawal	Bidder may withdraw bid any time before fall of hammer
Seller's Right to Bid	Seller may reserve right to bid — must be notified; otherwise no right
Pretended Bidding	Fraudulent — makes sale voidable at buyer's option
Reserve Price	If bidding does not reach reserve price — no valid sale

GOLDEN REVISION LINES

Sale transfers ownership IMMEDIATELY — Agreement to Sell transfers in future

Risk prima facie passes WITH property — risk follows ownership

Nemo Dat = No one can give better title than he has

Caveat Emptor = Let the Buyer Beware — buyer must examine goods

Unpaid seller has rights against GOODS and against BUYER personally

Stoppage in Transit is an extension of Right of Lien

Conditions are ESSENTIAL — Warranties are COLLATERAL

All the best! You've got this 🍀

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